

Public Enterprises (Government Investment) Management Act, 1993

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Public Enterprises (Government Investment) Management Act, 2050 (1993)

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Amending Acts

1. Some Nepal Acts Amendment Act, 2055 (1998) 2055.10.7
2. Republic Strengthening and Some Nepal Laws Amendment Act, 2066 (2009) 2066.10.7
3. Some Nepal Laws Amendment and Repeal Act, 2072 (2015) 2072.6.14
4. Some Nepal Acts Amendment Act, 2072 (2015) 2072.11.13
5. Some Nepal Acts Amendment Act to Make Compatible with the Constitution of Nepal, 2075 (2018) 2075.11.19
6. Privatization (First Amendment) Act, 2081 (2024) 2081.12.18

Act No. 31 of the year 2050 (1993)

Amended by the First Amendment. An Act Made to Provide for Management Relating to Public Enterprises (Government Investment)

Preamble: Whereas, from the perspective of national interest, it is desirable to regulate the government investment in public enterprises Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066 (2009). within Nepal, in order to increase the efficiency and productivity of industries and businesses operated with government investment, to reduce the financial and administrative burden on the Government of Nepal from enterprises, to broadly increase the participation of the private sector in the operation of enterprises, and thereby to achieve the economic development of the country as a whole,

Be it enacted by Parliament in the twenty-second year of the reign of His Majesty King Birendra Bir Bikram Shah Dev. 1. Short Title and Commencement: (1) This Act may be cited as the "Amended by the First Amendment. Public Enterprises (Government Investment) Management Act, 2050 (1993)."

(2) This Act shall come into force immediately. 2. Definitions: Unless the subject or context otherwise requires, in this Act,-

(a) "Enterprise" means a company, organized institution, industry or any other body in which the Government of Nepal has partial or full ownership, and this term shall also denote another company, organized institution, industry or any other body under the ownership or control of such company, organized institution or industry.

(b) "Government Investment Management" means the act of engaging or causing to engage the private sector in the management of an enterprise, selling, leasing, transferring government ownership to the general public, or engaging, through any other means, the partial or full participation of the private sector or the employees, workers or all willing groups of such enterprise.

(c) "Government Sector" means the sector in which the Government of Nepal has direct or indirect, full or partial ownership or participation in the management of any enterprise.

(d) "Private Sector" means the sector other than the Government Sector.

(e) "Committee" means the Government Investment Management Committee constituted pursuant to Amended by Some Nepal Acts Amendment Act, 2055 (1998). Section 3.

(f) "Prescribed" or "as prescribed" means prescribed or as prescribed by the rules made under this Act. 3.

Constitution of Government Investment Management Committee: (1) A Government Investment Management Committee shall be constituted for the systematic operation of the work of managing government investment in enterprises. (2) The Committee constituted pursuant to sub-section (1) shall consist of the following members:- (a) Minister of Finance or Minister of State - Chairperson (b) Chairperson, Amended by Some Nepal Acts Amendment Act to Make Compatible with the Constitution of Nepal, 2075 (2018). Finance Committee (House of Representatives) - Member (c) Two members of the Federal Parliament nominated by the Government of Nepal - Member (d) Member, National Planning Commission - Member (e) Secretary, Ministry of Finance - Member (f) Amended by Some Nepal Acts Amendment Act, 2072 (2015). Secretary, Ministry of Law, Justice and Parliamentary Affairs - Member (g) Secretary, Amended by Some Nepal Acts Amendment Act to Make Compatible with the Constitution of Nepal, 2075 (2018). Ministry of Labour, Employment and Social Security - Member (h) Secretary (of the Ministry concerned with the enterprise whose government investment is to be managed) - Member (i) President, Federation of Nepalese Chambers of Commerce and Industry - Member (j) Joint Secretary, Ministry of Finance (Corporation Coordination Division) - Member-Secretary (3) The Committee may, as required, invite the chief of the concerned enterprise, worker representatives and renowned economists to its meeting. 4. Functions, Duties and Powers of the Committee: The functions, duties and powers of the Committee shall be as follows:- Amended by the First Amendment. (a) To determine and classify programs and priorities related to government investment management. (b) To conduct or cause to conduct studies and research for formulating programs relating to government investment management. Added by the First Amendment. (b1) To identify the enterprise whose government investment is to be managed. (c) To cause the valuation of enterprises and submit recommendations on the process of government investment management to the Government of Nepal. (d) To remove obstacles and difficulties encountered in relation to the work of government investment management and to maintain coordination. (e) To monitor Added by the First Amendment. and evaluate or cause to evaluate decisions and agreements made in relation to government investment management. (f) To constitute sub-committees as required in relation to government investment management. Added by the First Amendment. (f1) To recommend to the Ministry of Finance to formulate necessary standards, procedures or directives for government investment management. (g) To perform or cause to perform other tasks as necessary in relation to government investment management. 5.

Meetings and Decisions of the Committee: (1) A meeting of the Committee shall be held on the date, time and place specified by the Chairperson of the Committee. (2) The Chairperson of the Committee shall preside over the meeting, and in the absence of the Chairperson, a member chosen by the members from among themselves shall preside over the meeting. (3) The decision of the majority at a meeting of the Committee shall be valid, and in case of a tie, the person presiding shall cast the deciding vote. (4) A record of the members present, the subjects discussed and the decisions made at the meeting of the Committee shall be kept in a separate book. (5) The decisions of the meeting of the Committee shall be certified by the Member-Secretary. (6) The Committee may, as required, invite Deleted by the First Amendment. experts or

advisors to attend its meeting as observers. (7) Other procedures relating to the meeting of the Committee shall be as determined by the Committee itself. Added by the First Amendment.5a. Implementation Committee: (1) There shall be an Implementation Committee as follows for the systematic implementation, monitoring and evaluation of decisions relating to government investment management of an enterprise:- (a) Secretary, Ministry of Finance - Coordinator (b) Joint Secretary, Ministry of Law, Justice and Parliamentary Affairs - Member (c) Joint Secretary, Ministry of Finance (Corporation Coordination Division) - Member (d) Joint Secretary, Ministry concerned with the enterprise - Member (e) Chief Executive Officer, concerned enterprise - Member (2) The Secretariat of the Implementation Committee shall be located at the Ministry of Finance. (3) The Under Secretary of the branch of the Ministry of Finance dealing with government investment management matters shall act as the Secretary of the Implementation Committee. (4) A meeting of the Implementation Committee shall be held at least once every two months on the date, time and place specified by the Coordinator. (5) The Implementation Committee may, as required, invite experts in the relevant subject to its meeting. Added by the First Amendment.5b.

Functions, Duties and Powers of the Implementation Committee: The functions, duties and powers of the Implementation Committee shall be as follows:- (a) To implement decisions made by the Committee and prepare annual action plans, (b) To monitor or cause to monitor, at least once a year, the enterprise whose government investment has been managed by the Committee and receive reports, (c) To facilitate the implementation of agreements made with the enterprise whose government investment has been managed by the Committee, (d) To deposit or cause to deposit into the Consolidated Fund the revenue amounts payable to the Government of Nepal by the enterprise whose government investment has been managed by the Committee, in accordance with the agreement, (e) To conduct or cause to conduct studies on government investment management and submit suggestions to the Committee, (f) To formulate necessary standards, procedures or directives on matters relating to enterprise reform, share divestment, lease, rental, monetization of assets, merger or amalgamation and submit them to the Committee, (g) To submit an annual report of its work to the Committee within three months of the end of the fiscal year, (h) To perform other necessary functions as directed by the Committee relating to enterprise reform and government investment management. Added by the First Amendment.5c. Government Investment Management Unit: (1) There shall be a Government Investment Management Unit as determined by the Ministry of Finance, under the coordination of the Joint Secretary of the Corporation Coordination Division of the Ministry of Finance, to assist the Committee and the Implementation Committee in matters relating to government investment in enterprises. (2) In the Government Investment Management Unit pursuant to sub-section (1), employees working in any body of the Government of Nepal, Nepal Rastra Bank or public enterprises may be brought on deputation, or experts or specialists may be employed on a contract basis, as required. Added by the First Amendment.5d.

Management Contract and Private Sector Participation in Lease: (1) When the ministry concerned with the enterprise manages government investment by leasing out some assets of the enterprise pursuant to clause (d) of Section 8 or by paying a management fee pursuant to clause (e) thereof, prior approval in principle from the Committee shall be obtained on the method of valuation and selection procedure, after conducting a detailed study thereof. (2) If approval in principle is obtained from the Committee pursuant to sub-section (1), the matter shall be submitted to the Government of Nepal for approval. (3) If approval is obtained from the Government of Nepal pursuant to sub-section (2), proposals shall be called for from the private sector by publishing a notice in a national level newspaper. (4) The proposal pursuant to sub-section (3) shall be evaluated based on the valuation method and selection procedure pursuant to sub-section (1), and an agreement shall be made pursuant to Section 11. Amended by the First Amendment.6. Publication of Notice

for Government Investment Management: (1) Except for the process pursuant to Section 5d of this Act, if the Committee deems it necessary to manage the government investment in any enterprise, it shall submit the matter to the Government of Nepal for approval through the Ministry of Finance. (2) After approval is obtained pursuant to sub-section (1), the Ministry of Finance shall publish a notice thereof in the Nepal Gazette. 7. Valuation Process of Enterprise: (1) When managing government investment in any enterprise, the valuation work of that enterprise Amended by the First Amendment. may be carried out by a team of domestic experts, or if necessary, by a joint team of domestic and foreign experts, by the Committee. (2) When the team of experts pursuant to sub-section (1) carries out the valuation work of the enterprise, it shall be based on the assets of the enterprise, the market value of shares, the profits and losses incurred by the enterprise, and the production, sales, profits and losses the enterprise may make in the future. 8.

Determining the Process of Government Investment Management: The Government of Nepal may manage government investment in any enterprise classified for government investment management by adopting any or all of the following processes:- Amended by the First Amendment.(a) By divesting the shares of the enterprise: Provided that while divesting shares in such manner, priority shall be given, as far as possible, to the participation of the general public, workers and employees, considering the nature and financial condition of the enterprise. (b) By cooperatization, (c) By selling the assets of the enterprise, (d) By leasing the assets of the enterprise, (e) By involving the private sector in the management of the enterprise, Added by the First Amendment.(e1) By monetizing the assets of the enterprise, (f) By adopting any other means deemed appropriate by the Government of Nepal upon the recommendation of the Committee. 9. Proposal Relating to Government Investment Management: When the Government of Nepal manages government investment in any enterprise, it shall, specifying necessary details relating to that enterprise, publish a notice in a national level newspaper Deleted by the First Amendment. and call for proposals relating to government investment management. 10. Evaluation of Proposals: (1) The Committee shall evaluate the proposals received from the private sector pursuant to the notice published under Section 9 on the following basis:- (a) Providing an attractive and higher price, (b) Operating the enterprise in a manner that yields Amended by the First Amendment. high returns, (c) Deleted by the First Amendment. (d) Increasing employment opportunities, (e) Having managerial experience, (f) Deleted by the First Amendment. Having a business plan and further investment to expand the industry and business. Added by the First Amendment.(1a) The Committee may assign weightage considering the basis of evaluation of proposals received pursuant to sub-section (1) as one hundred full marks. (2) When evaluating pursuant to sub-section (1), if the proposals of two or more investors appear similar, priority shall be given to a Nepali investor or a group of Nepali investors. 11.

Agreement Required for Government Investment Management: (1) Before transferring an enterprise, whose government investment is to be managed under this Act, to the private sector, an agreement shall be made clearly specifying the conditions to be complied with by both the giving and receiving parties: Provided that no agreement need be made when shares are openly sold and distributed to the general public, employees and workers of the enterprise whose government investment is being managed, and to the private sector, through the capital market or any other means. (2) The terms of payment to be received by the Government of Nepal after government investment management shall be clearly specified in the agreement made pursuant to sub-section (1). (3) The time period for the transfer of the enterprise to the private sector by the Government of Nepal and other conditions to be imposed by the Government of Nepal shall also be clearly specified in the agreement made pursuant to sub-section (1). (4) Within one month of the date of making an agreement relating to government investment management pursuant to sub-section (1), the conditions and brief details mentioned in such agreement shall be published for the information of the general public. 12. May Constitute Sub-Committees: (1) The Committee may, as required, constitute a sub-committee of experts in relation to

government investment management. (2) The functions and duties of the sub-committees constituted pursuant to sub-section (1) shall be as determined by the Committee. 13. Settlement of Disputes: (1) If any dispute arises regarding any matter mentioned in the agreement made between the Government of Nepal or the party participating in government investment management relating to government investment management, such dispute shall be settled by the concerned parties through mutual discussion. (2) If the dispute cannot be settled pursuant to sub-section (1), such dispute may be settled by mediation by agreement of both parties. When settling a dispute by mediation in this manner, it shall be done in accordance with the prevailing law on mediation or the prevailing mediation rules of the United Nations Commission on International Trade Law (UNCITRAL). (3) The place of mediation shall be Kathmandu, and the prevailing law of Nepal shall apply to the mediation. 14.

Provisions Relating to Employees: (1) The Government of Nepal may transfer the services and benefits such as gratuity earned by workers employed in the enterprise whose government investment is being managed to the new investor's enterprise, maintaining the continuity of their service. (2) If it is not possible to maintain the continuity of service pursuant to sub-section (1) and if employees, workers etc. employed in such enterprise need to be retired, the Government of Nepal may, upon the recommendation of the Committee, retire the employees and workers, subject to sub-section (3). (3) When retiring pursuant to sub-section (2), the Government of Nepal shall, upon the recommendation of the Committee, make appropriate arrangements for compensation or benefits for the employees or workers to be retired from the enterprise whose government investment is to be managed. (4) The Government of Nepal shall make available some shares of the enterprise whose government investment is being managed to the employees and workers employed therein at a Deleted by Some Nepal Laws Amendment and Repeal Act, 2072 (2015). reduced price. 15. Facilities and Fees: (1) The enterprise whose government investment has been managed shall receive facilities similar to those received by old industries and businesses. (2) When transferring all movable and immovable assets including land of the enterprise whose government investment is being managed, the fees leviable under the prevailing law shall be borne by both parties. 16. May Dissolve Enterprise: (1) When taking action relating to managing government investment in any enterprise fully owned by the Government of Nepal, if it is deemed appropriate to dissolve such enterprise for reasonable cause, the Government of Nepal may, notwithstanding anything contained in the prevailing law, publish a notice in the Nepal Gazette and dissolve such enterprise and make separate provisions relating to the dissolution process. (2) Amounts remaining to be collected from the enterprise dissolved pursuant to sub-section (1) may be recovered as government dues. (3) The Government of Nepal may transfer the assets or liabilities of an enterprise dissolved pursuant to sub-section (1) to another body, or may, upon the recommendation of the Committee, write off useless assets and irrecoverable liabilities. (4) If all liabilities of the enterprise cannot be paid from the assets of the enterprise, the remaining liabilities shall be settled in accordance with the prevailing law. 17. Government of Nepal May Give Orders or Directions: The Government of Nepal may give necessary orders or directions to the concerned Amended by the First Amendment. ministry or enterprise or person in relation to government investment management, and it shall be the duty of the concerned Amended by the First Amendment. ministry or enterprise or person to comply with such order or direction. 18.

Penalty: If any person causes any kind of hindrance or obstruction in the compliance or enforcement of this Act or an agreement made under this Act, or in the work of government investment management, the Government of Nepal may sentence such person to imprisonment for up to two months or a fine of up to Amended by the First Amendment. one hundred thousand rupees or both. Added by the First Amendment. Provided that before imposing such penalty, a reasonable opportunity to present a defense shall be given. 19. Delegation of Powers: The Committee may, as required, delegate some of the powers vested in

it under this Act to its Chairperson, member or Member-Secretary, Added by the First Amendment. the Implementation Committee, the Government Investment Management Unit, a sub-committee or any member of a sub-committee. 20. Power to Make Rules: The Government of Nepal may make necessary rules for the implementation of the objectives of this Act. 20a. May Make Procedures, Directives or Standards: Added by the First Amendment. Subject to this Act and the rules made under it, the Ministry of Finance may, upon the recommendation of the Committee, formulate and implement necessary procedures, directives or standards. 21. Power to Remove Difficulties: If any difficulty arises in implementing this Act, the Government of Nepal may, by publishing a notice in the Nepal Gazette, issue an order to remove such difficulty. 22. To Be According to This Act: Notwithstanding anything contained in the prevailing law, the matters stated in this Act shall be according to this Act, and other matters shall be according to the prevailing law.